Presentation of Derivative Gains (Losses) for Economic Hedges of Forecasted Cash Flows in Segment Results

Derivatives used to manage commodity price risk and foreign currency risk are not designated for hedge accounting treatment. We believe these derivatives provide economic hedges of certain forecasted transactions. As such, these derivatives are recognized at fair market value with realized and unrealized gains and losses recognized in general corporate expenses. The gains and losses are subsequently recognized in the operating results of the reporting segments in the period in which the underlying transaction being economically hedged is included in earnings. In the event that management determines a particular derivative entered into as an economic hedge of a forecasted commodity purchase has ceased to function as an economic hedge, we cease recognizing further gains and losses on such derivatives in corporate expense and begin recognizing such gains and losses within segment operating results, immediately.

The following table presents the net derivative gains (losses) from economic hedges of forecasted commodity consumption and the foreign currency risk of certain forecasted transactions, under this methodology:

	2019	2018	2017
Net derivative gains (losses) incurred	$ (3.6)	$ (0.9)	$ 0.6
Less: Net derivative gains (losses) allocated to reporting segments	(1.8)	(7.1)	5.7
Net derivative gains (losses) recognized in general corporate expenses	$ (1.8)	$ 6.2	$ (5.1)
Net derivative gains (losses) allocated to Grocery & Snacks	$ (2.1)	$ 0.2	$ 3.4
Net derivative gains (losses) allocated to Refrigerated & Frozen	(1.1)	(0.3)	0.8
Net derivative gains (losses) allocated to International	2.8	(6.9)	1.6
Net derivative losses allocated to Foodservice	(0.6)	(0.1)	—
Net derivative losses allocated to Pinnacle Foods	(0.8)	—	—
Net derivative losses allocated to Commercial	—	—	(0.1)
Net derivative gains (losses) included in segment operating profit	$ (1.8)	$ (7.1)	$ 5.7

As of May 26, 2019, the cumulative amount of net derivative gains from economic hedges that had been recognized in general corporate expenses and not yet allocated to reporting segments was $1.4 million. This amount reflected net gains of $1.0 million incurred during the fiscal year ended May 26, 2019, as well as net gains of $0.4 million incurred prior to fiscal 2019. Based on our forecasts of the timing of recognition of the underlying hedged items, we expect to reclassify to segment operating results gains of $0.9 million in fiscal 2020 and $0.5 million in fiscal 2021 and thereafter.

Assets by Segment

The majority of our manufacturing assets are shared across multiple reporting segments. Output from these facilities used by each reporting segment can change over time. Also, working capital balances are not tracked by reporting segment. Therefore, it is impracticable to allocate those assets to the reporting segments, as well as disclose total assets by segment. Total depreciation expense for fiscal 2019, 2018, and 2017 was $283.9 million, $222.1 million, and $234.4 million, respectively.

Other Information

Our operations are principally in the United States. With respect to operations outside of the United States, no single foreign country or geographic region was significant with respect to consolidated operations for fiscal 2019, 2018, and 2017. Foreign net sales, including sales by domestic segments to customers located outside of the United States, were approximately $919.5 million, $918.4 million, and $887.2 million in fiscal 2019, 2018, and 2017, respectively. Our long-lived assets located outside of the United States are not significant.

Our largest customer, Walmart, Inc. and its affiliates, accounted for approximately 24% of consolidated net sales for each of fiscal 2019, 2018, and 2017, significantly impacting the Grocery & Snacks, Refrigerated & Frozen, and Pinnacle Foods segments.

Walmart, Inc. and its affiliates accounted for approximately 30% and 25% of consolidated net receivables as of May 26, 2019 and May 27, 2018, respectively.